

Cost and Management Accounting

BBA — 3rd Semester — 2024 — Answer Sheet

Subject Code: ACC202

Note: This answer sheet is currently a template. Detailed answers will be added progressively. Students are encouraged to refer to textbooks and class notes.

Section A

Brief Answer Questions: [10 × 2 = 20]

1. Write any two advantages of cost accounting.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

2. What do you mean by inventory management?

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

3. Write about the opportunity cost.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

4. Write about unavoidable cost.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

5. What is piece rate wages system?

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

6. A manufacturing company provides you the following information of a material: > Annual requirement 40,000 units > Economic order quantity = 4,000 units > Cost per unit of material Rs 20 > Carrying cost is 10% of inventory value Required: Ordering cost per order

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

7. The following data are given to you: > Standard time fixed for a job 12 hours > Time rate fixed Rs 40 per hour > Actual time taken by Mr A is 10 hours Required: Total wages of Mr. A under Halsey Plan

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

8. Consider the following information of cost and production units: Output in units 3,000 4,000 5,000 Mixed cost 40,000 50,000 60,000 Required: a) Segregation of mixed cost into variable and fixed cost using High Low Method. b) Estimate the total cost for 6000 units.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

9. The following information of a manufacturing company are presented below: > Actual hours worked 8,200 > Fixed overhead (8,000 hours Normal Capacity) Rs 64,000 > Actual production 400 units > Standard hours per unit 20 > Standard overhead rate per standard hour Rs 15 > Actual overhead incurred Rs 122,000 Required: Overhead Capacity Variance

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

10. The following overheads are exacted from the company. Rent Rs 15,000 Depreciation of machinery Rs 50,000 Other information: Department Area in sq. ft. Machinery Value A 200 200,000 B 300 300,000 Required: Total overhead of departments A and B.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

Section B

Short Answer Questions: (Attempt any SIX Questions) [6 × 5 = 30]

11. Differentiate between variable overhead and fixed overhead.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

12. Differentiate between product cost and period cost with examples.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

13. "Cost-Volume-Profit Analysis is important tools for profit planning." Comment.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

14. A company has installed capacity of 30,000 labour hours the production and sales volume at present have given below: > Production and sales in unit: 100,000 units > Cost of producing one unit: Direct material Rs 4 Direct labor Rs 3 Manufacturing overhead Rs 5 Total cost Rs 12 > Selling price per unit: Rs 15 The company received an offer to supply 20,000 units at a price of Rs 11 per unit and production of four units required one labour hour and fixed manufacturing cost was Rs 240,000. Required: Differential cost analysis to decide whether the company should or should not accept the offer.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

15. The following information of materials are given: Standard: Material Quantity (Kg) Standard Price per kg
A 4Rs 8 B 5Rs 7 C 11Rs 5
Material Quantity (Kg) Standard Price per kg
A 50Rs 7 B 60Rs 6 C 90Rs 5
Standard Loss is 10% and Actual output is 190 kg
Required: Material variances

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

16. The following are the information of production department: > Cost of machine Rs 300,000 with Rs 30,000 residual value at end of 5 years. > Annual working hours of machine 6,000 hours. > Setting up time = 10% of total machine hours. > Repair and maintenance and lubricating Rs 2 per machine hours > Annual lighting expenses Rs 18,000 > Machine attendance annual salary Rs 48,000 > Power consumption Rs 3 per 30 minutes working
Required: Overhead rate per machine hour

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

17. The following are the information of a Manufacturing Company with Normal Capacity of 30,000 units: Years
Closing stock units 1,000
Production units 20,000
Sales units 21,000
Fixed factory overhead at Normal Capacity Rs 120,000
Fixed selling and administrative overhead Rs 42,000
Variable selling expenses Rs 2 per unit
Unit selling price Rs 20
Variable cost per unit Rs.
Raw material 4
Direct labour 3
Required: Income Statement under Variable Costing and reconciliation of profit

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

Section C

Long Answer Questions: (Attempt any THREE Questions) [3 × 10 = 30]

18. "Management accounting provides information for decision making and control." Explain briefly.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

19. "The main objective of holding inventory is to maintain efficiency in production and sales operations." discuss.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

20. Following is the information about the New Hotel in Kathmandu: > Total number of single rooms = 40 (100% for 5 months and 60% for 7 months) > Total number of double rooms = 30 (70% for 5 months and 50% for 7 months)
Annual expenses and other information are given below: > Room attendants 4 staff salary = Rs 30,000 per month per staff. > Administrative 3 staff salary = Rs 20,000 per month per staff. > Other staff 2 salary = Rs 15,000 per month per staff. > Electricity charge = Rs 120,000 per year. > Repair charge = Rs 30,000 per year. > Insurance premium = Rs 60,000 per year. > Laundry charge = Rs 10,000 per month > Depreciation on furniture = 25% of Rs 500,000. > Depreciation of land and building = 5% of 8,000,000. > Miscellaneous expenses = Rs 100,000 per year. > Profit 20% on the cost of sales.
Assumed that the double bad room shall be regarded as 1.5 of the single room for the fixing the rate of the room.
Required: a) Statement of operating cost b) Room charge for single and double rooms per day.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

21. Income Statement of a Manufacturing Company is as follows:

Production and Sales Units:	30,000
Sales Revenue @ Rs 30 per unit	Rs 900,000
Less: Variable Cost @ Rs 18 per unit	Rs 540,000
Contribution Margin	Rs 360,000
Less: Fixed Cost	Rs 240,000
Net Income before Tax	Rs 120,000

Required: i) Break-even point in Rs ii) Break-even point in units iii) Sales to earn desired profit after tax of Rs 75,000 if tax rate is 25% iv) Profit when sales are Rs 1,000,000 v) Margin of safety if profit is Rs 150,000 vi) Margin of safety ratio if actual sales is Rs 750,000 vii) Break even ratio if actual sales is Rs 800,000

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

Section D

Comprehensive Answer / Case / Situation Analysis Questions:[20]

22. A renowned organization is planning to prepare functional budget for their decision making from the following information:

Total sales for six months are 400,000 units, which are apportioned as: Chaitra 20%, Baisakh 15%, Jestha 20%, Ashad 15%, Shrawan 20% and Bhadra 10% respectively. **Selling price per unit will be Rs 30**

Purchase: One unit of finished goods requires 4 kg of material and rate per kg is Rs 6.

Wages: Each unit of finished goods will need 3 labour hours and rate per labour hour will be Rs 6

Overhead: Variable manufacturing cost will be Rs 3 per unit and fixed manufacturing cost for the year will be Rs 240,000

Selling and administrative expenses will be 20% of sales

Inventory policy: Material: 100% of the next month's production need

Finished goods: 50% of the following month sales

Required for three months from Baisakh to Ashad:

- Sales budget
- Production budget
- Material purchase budget
- Labour budget
- Manufacturing overhead budget
- Selling and administrative expenses budget
- Cost of goods sold budget

"Functional budget is important for the development of organizations", explain.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

These answer sheets are prepared for educational purposes. Students are encouraged to verify with official textbooks and course materials.